

Shriram Finance Ltd | SHRIRAMFIN | Financials

Business Overview Shriram Transport Finance Company Ltd is a part of the SHRIRAM Group conglomerate which has a significant presence in the financing business. STFC is engaged in t

Key Performance Indicators

ROE %	ROCE %	NPM %	D/E	Rev CAGR 5yr	FCF (Cr)
15.12%	4.06%	20.33%	3.99	18.56%	-31359.0

Profit & Loss Summary (Rs. Crore)

Year	Sales	Op Profit	Net Profit	OPM%	EPS
2017-03	10903.0	1972.0	1266.0	18.0%	10.0
2018-03	13502.0	3805.0	2549.0	28.0%	20.0
2019-03	15536.0	3801.0	2576.0	24.0%	20.0
2020-03	16561.0	3565.0	2512.0	22.0%	20.0
2021-03	17422.0	3402.0	2499.0	20.0%	18.0
2022-03	19255.0	3666.0	2721.0	19.0%	20.0
2023-03	30492.0	8799.0	6020.0	29.0%	32.0
2024-03	36388.0	10523.0	7399.0	29.0%	39.0

Key Ratios Trend

Year	ROE%	ROCE%	D/E	FCF(Cr)	Rev CAGR
2019-03	16.14%	3.62%	5.51	-5611.0	12.88%
2020-03	13.85%	3.03%	5.22	-2519.0	12.53%
2021-03	11.51%	2.55%	4.91	-4264.0	10.96%
2022-03	10.43%	2.51%	4.4	-8893.0	12.05%
2023-03	13.84%	3.95%	3.77	-12549.0	17.69%
2024-03	15.12%	4.06%	3.99	-31359.0	18.56%

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Balance Sheet Summary (Rs. Crore)

Year	Equity	Reserves	Borrowings	Total Assets
2019-03	227.0	15736.0	87914.0	105419.0
2020-03	227.0	17915.0	94735.0	114266.0
2021-03	253.0	21464.0	106546.0	129910.0
2022-03	271.0	25824.0	114846.0	142268.0
2023-03	374.0	43138.0	164202.0	210573.0
2024-03	376.0	48571.0	195496.0	248266.0

Cash Flow Statement (Rs. Crore)

Year	CFO	CFI	CFF	Net Cash
2022-03	-8859.0	-34.0	8505.0	-388.0
2023-03	-17625.0	5076.0	11820.0	-730.0
2024-03	-31101.0	-258.0	27609.0	-3750.0

Capital Allocation Pattern

Growth Funded by Debt

Strengths

- + Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- + Operating profit margin above 25% indicates strong pricing power and cost discipline
- + Net profit compounding at above 20% over 5 years creates significant shareholder value
- + Return on equity improving for 3 consecutive years shows strengthening business quality

Concerns

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
- Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital